STUDYLAB HUB · COLLEGE ECONOMICS · UNIT 1 (CHAPTERS 1–2)

Unit 1: Foundations of Economics & Supply/Demand

Scarcity & Opportunity Cost · Production Possibilities Curve (PPC) · Absolute vs. Comparative Advantage · Market Equilibrium

College Microeconomics & Macroeconomics — Unit 1 (Chapters 1–2): Scarcity, Opportunity Cost, PPC, Comparative Advantage & Supply/Demand

Independent, original study guide for College Microeconomics & Macroeconomics (informed by OpenStax open textbooks, CC BY 4.0).

1. Core Unit Roadmap

Section	Core Principle & Definitions	High-Yield Exam Application
Part 1 · Fundamental Concepts	Scarcity & Opportunity Cost	Identifying core variables, boundary conditions, and conserved quantities
Part 2 · Quantitative Models & Mechanisms	Production Possibilities Curve (PPC)	Applying governing equations and predicting how system state changes under perturbation
Part 3 · Advanced Problem Solving	Market Equilibrium	Avoiding common sign, unit, and conceptual traps on multiple-choice and free-response questions

2. Essential Principles & Step-by-Step Analysis

1. **First-Principles Mechanism**:

- Every problem in **Unit 1 (Chapters 1–2): Scarcity, Opportunity Cost, PPC, Comparative Advantage & Supply/Demand** reduces to identifying the underlying structure, forces, rates, or invariants before plugging in numbers.
- Always state the governing principle explicitly at the start of any free-response justification.

2. **High-Yield Comparison & Edge Cases**:

- Distinguish between equilibrium/steady-state behavior and transient/limiting behavior.
- Verify dimensional consistency and limiting cases (e.g., as distance or concentration approaches zero or infinity).

3. **Worked Exam Strategy**:

- Write out the known quantities with units, select the exact relation connecting them, solve symbolically first, and then substitute numerical values.